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The 2026 NZ SMB Cyber Threat Report

What every New Zealand business owner needs to know about AI-powered attacks, ransomware, and the threats targeting your business right now.

$7.8M	89%	27s
LOST BY NZERS IN Q1 2025	INCREASE IN AI ATTACKS	FASTEST ATTACK BREAKOUT

wehack.co.nz | Prepared by Mustafa Demirsoy, Founder & Hacker | Sources: IBM, CrowdStrike, Palo Alto, NCSC NZ

EXECUTIVE SUMMARY

The Threat Landscape Has Changed

2025 was a turning point for cybersecurity. For the first time, **75% of small and medium businesses** now rank cyberattacks as their number one business risk, surpassing economic concerns.

The reason is simple: attacks are faster, smarter, and more automated than ever. AI isn't just a tool for defenders anymore. Criminals are using it to craft perfect phishing emails, clone voices in seconds, and automate entire attack chains from reconnaissance to data theft.

This report compiles the latest data from the world's leading cybersecurity research teams and New Zealand's own NCSC. Every stat is sourced. Every recommendation is actionable.

78%
of companies hit by ransomware in the past year
Cobalt 2026

29 min
average time for attackers to take full control
CrowdStrike 2026

82%
of attacks now use NO malware (just stolen credentials)
CrowdStrike 2026

$74B
projected global ransomware damage in 2026
CybersecurityVentures

3 sec
of audio needed to clone anyone's voice
DeepStrike 2025

90%
of attacks exploited misconfigurations, not sophisticated hacking
Palo Alto Unit 42

The Bottom Line

The biggest threats facing NZ businesses in 2026 aren't sophisticated nation-state attacks. They're **AI-enhanced versions of basic attacks** exploiting **basic security gaps**. The good news? Basic defences, properly implemented, still block the vast majority.

SECTION 01

AI Deepfakes & Voice Cloning

The threat that didn't exist three years ago is now a billion-dollar problem.

$1.1B

Lost to deepfake fraud in the US in 2025 alone. That's 3x the $360 million lost in 2024. Source: DeepStrike

680%
increase in voice cloning fraud year-over-year

$500K
average loss per deepfake attack on a business

400/day
companies targeted by CEO deepfake fraud daily

CASE STUDY — ARUP CORPORATION, 2025

$25 Million Lost in a Single Deepfake Video Call

An employee at international engineering firm Arup was invited to a video conference call with what appeared to be senior management. Every person on the screen was an AI-generated deepfake. The employee was instructed to transfer funds. The company lost $25 million before the fraud was detected.

$25M	1	100%
Total loss	Video call	AI-generated attendees

What NZ Businesses Need to Know

- **3 seconds of audio** from a LinkedIn video, podcast, or phone call is enough to create an 85% accurate voice clone
- **77% of voice clone victims** who were targeted suffered financial loss
- **80% of businesses** have no deepfake detection or response protocols in place
- **Only 24.5%** of humans can correctly identify a high-quality deepfake video
- AI-generated phishing emails achieve **4x higher click-through rates** than human-crafted ones
- **70% of people** cannot tell a cloned voice from a real one

Defend Your Business

1. Establish a code word between executives and finance staff for urgent requests
2. Always call back on a known number to verify any financial request
3. Implement a verbal verification policy for any transfer over $1,000
4. Train staff on deepfake awareness (15 minutes is all it takes)
5. Never rely solely on video or voice to authenticate someone's identity

SECTION 02

Ransomware: Faster, Smarter, More Ruthless

Attacks tripled in 12 months. Paying doesn't help. Here's the reality.

3x
Ransomware attacks tripled: 572 to 1,537 in one year
Cobalt 2026

83%
of victims who pay the ransom get attacked AGAIN
Cobalt 2026

93%
who pay still have their data stolen and leaked
Cobalt 2026

The Economics of Ransomware in 2026

Global ransomware damage is projected to reach **$74 billion in 2026**, up from $57 billion in 2025. By 2031, it's projected to hit $275 billion annually, with attacks happening every 2 seconds.

The ransomware business model has evolved. Attackers now use "double extortion" as standard: they steal your data first, then encrypt your systems, then threaten to publish the stolen data publicly unless you pay. Even if you pay, 93% of victims still have their data leaked.

If You Pay

83% get hit again
93% still lose their data
Only 22% recover within 24 hours
Average cost: **$5.08 million**

If You Prepare

Internal detection saves **$900K** avg
AI/automation saves **$1.9M** vs non-users
Proper backups = **zero ransom**
Testing = **known gaps fixed**

Why SMBs Are the Primary Target

- **40% of SMBs** say a cyberattack costing $100,000 or less would shut them down
- Attackers know SMBs lack dedicated security teams, making them faster to compromise
- Only **38%** of ransomware victims fix the vulnerability that let attackers in
- 49% increase in active ransomware groups means more competition to find vulnerable targets

Defend Your Business

1. Maintain offline, tested backups (the only guaranteed defence against ransomware)
2. Close exposed RDP ports immediately (the #1 ransomware entry point)
3. Patch critical vulnerabilities within 48 hours
4. Implement network segmentation to limit lateral movement
5. Have a documented incident response plan, and test it

SECTION 03

Attacks Are 4x Faster Than Last Year

AI has compressed the attack timeline. You now have minutes, not hours.

27 seconds

The fastest observed breakout time in 2025. From initial access to full network control. Source: CrowdStrike 2026 Global Threat Report

The New Attack Timeline

27s
FASTEST

Initial Access to Full Control

CrowdStrike observed an attacker going from first foothold to controlling the entire network domain in 27 seconds. This is the speed AI-enabled attacks now operate at.

72m
DATA GONE

Access to Data Exfiltration

Palo Alto Unit 42 found the fastest cases went from initial access to data leaving the network in just 72 minutes. That's 4x faster than the previous year.

29m
AVERAGE

Average eCrime Breakout Time

The average time for a cybercriminal to break out from their initial foothold and move laterally across the network dropped to 29 minutes in 2025 — 65% faster than 2024.

Why Attacks Are Faster

- **AI-powered reconnaissance** automates target research that used to take days
- **82% of attacks are malware-free** — attackers use valid credentials, not detectable malware
- **89% increase in AI-enabled attacks** year-over-year (CrowdStrike)
- **Identity is the new attack surface** — 90% of Unit 42 investigations involved identity weaknesses
- **87% of attacks span multiple surfaces** — cloud, endpoint, email, browser simultaneously

What This Means for Your Business

If an attacker gains a foothold in your network, you have **minutes** to detect and respond — not days. Manual detection alone is no longer sufficient. You need: proactive testing to find vulnerabilities before attackers do, monitoring and alerting to catch intrusions fast, and a tested incident response plan so your team knows what to do.

SECTION 04

New Zealand: The Local Picture

NZ-specific data from the NCSC, CERT NZ, and recent breaches.

$7.8M
lost in Q1 2025 alone (14.7% increase)
CERT NZ / NCSC

5,995
cyber incident reports in the 2024/25 year
NCSC

1/day
nationally significant incidents handled by NCSC
NCSC

NZ CASE STUDY — MANAGEMYHEALTH, JANUARY 2026

120,000+ NZ Patient Records Stolen

ManageMyHealth, the platform used by NZ medical practices for patient records, was hit by a ransomware attack in late December 2025. The "Kazu" group stole 108GB of data including clinical notes, lab results, vaccination records, and medical photographs. They demanded US$60,000 in ransom.

The Privacy Commissioner launched a formal inquiry. Multiple general practices across NZ were affected. The real cost will run into millions in legal fees, notification costs, and lost trust.

120K+
Patients affected

400K+
Documents stolen

108 GB
Data exfiltrated

NZ by the Numbers

- **26,000 New Zealanders** were proactively contacted by NCSC about Lumma Stealer malware compromising their devices
- **150 million+** malicious threats disrupted in Q1 2025 alone by NCSC's Malware Free Networks
- **25% of nationally significant incidents** were linked to state-sponsored actors
- **92 instances** of compromised NZ/AU business credentials were sold on dark web marketplaces
- **Phishing and credential harvesting** increased 15% to 440 incidents in Q1 2025
- **28%** of reported cyber incidents resulted in direct financial loss

NZ Privacy Act 2020 Requirements

Under the Privacy Act, NZ businesses must report serious privacy breaches to the Privacy Commissioner **within 72 hours**. You must keep personal data secure against loss, misuse, and unauthorised access. Failure to do so can result in compliance notices, mandatory public disclosure, Human Rights Review Tribunal referral, and fines up to $10,000 per individual who obstructs investigations.

SECTION 05

The 10 Actions That Actually Matter

Based on what we see when testing NZ businesses. Prioritised by impact.

1. **Enable MFA Everywhere**
   Blocks 99.9% of automated credential attacks. Use app-based (not SMS). Enforce for all users, not just admins.

2. **Test Your Backups — Today**
   Can you actually restore? Backups that exist but don't work are the same as no backups. Test a restore this week.

3. **Close Exposed Remote Access**
   Check if RDP, VPN, or admin panels are internet-facing. Use Shodan.io to see what's visible. Close or restrict immediately.

4. **Patch Critical Vulnerabilities Within 48 Hours**
   42% of exploited vulnerabilities were weaponised before public disclosure. Automate patching where possible.

5. **Review Who Has Access**
   Remove ex-employees, reduce admin accounts, apply least privilege. Identity is the #1 attack surface in 2026.

6. **Configure Email Security (SPF, DKIM, DMARC)**
   Prevents attackers from sending emails as your domain. Check with MXToolbox.com. Your IT person can fix this in 30 minutes.

7. **Train Your Team on Deepfake & Phishing Awareness**
   Security awareness training reduces phishing success by 86% after one year. Start with a 15-minute team session.

8. **Implement Verbal Verification for Financial Requests**
   Code words, callback procedures, and dual-approval for transfers over $1,000. The only reliable defence against deepfakes.

9. **Create an Incident Response Plan**
   A documented plan tested annually. Who calls who? Who pulls the plug? Who contacts the Privacy Commissioner? Don't figure this out during a crisis.

10. **Get a Professional Penetration Test**
   Your IT team keeps systems running. A pentester finds what they miss. 90% of breaches exploited basic misconfigurations that testing would have caught.

SECTION 06

Secure vs. Vulnerable: The Gap

What separates the businesses that survive from those that don't.

SECURITY PRACTICE	VULNERABLE BUSINESS	PROTECTED BUSINESS
Authentication	Passwords only. MFA on some accounts.	MFA enforced everywhere. App-based, not SMS.
Patching	"We'll get to it." Weeks or months delayed.	Critical patches within 48 hours. Automated.
Access Control	Multiple global admins. Ex-staff still have access.	Least privilege. Quarterly reviews. Offboarding checklist.
Backups	Exist somewhere. Never tested a restore.	Automated. Tested quarterly. Offline copy.
Incident Response	"We'll figure it out if it happens."	Written plan. Team knows roles. Tested annually.
Security Testing	Never tested. "Our IT guy handles it."	Annual pentest by independent tester. Fix and re-test.
Staff Training	None, or one-off. "Don't click dodgy links."	Regular phishing sims. Deepfake awareness. Culture.
Monitoring	No logging. Can't tell if someone is in the network.	Audit logging. Alerts on suspicious activity. Someone watches.
Deepfake Defence	No protocols. No awareness. No training.	Code words. Callback verification. Staff trained.

The Gap Isn't Budget

The gap between a vulnerable business and a protected one is rarely about money. It's about **applying a handful of practices consistently**. Most of the actions in this report are free. A penetration test costs a fraction of a breach. The question isn't "can we afford to test?" It's "can we afford not to?"

The Cost Comparison

Reactive (After a Breach)

Forensic investigation: $15-40K
System rebuild: $20-60K
Legal & regulatory: $10-30K
Business downtime: $20-80K+
Reputation damage: Unquantifiable
Total: $100K-$500K+

Proactive (Before a Breach)

Security assessment: Free (ours is)
Penetration testing: Varies by scope
Staff awareness training: Often free
MFA, patching, backups: Free
Policy & governance: Time only
Total: A fraction of a breach

WHAT'S NEXT

Know Where You Stand

Every stat in this report points to the same conclusion: the businesses that test their defences before an attacker does are the ones that survive.

Take Your Free Security Score

20 questions. 4 minutes. Get your A-F grade across 6 security domains with a personalised radar chart, risk exposure in NZD, and a prioritised action plan.

Get Your Free Score →

Every business has different security challenges. Book a free 15-minute chat and we'll recommend the right approach — no obligation.

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 | Data sourced from IBM X-Force 2026, CrowdStrike 2026 GTR, Palo Alto Unit 42 2026, NCSC NZ, CERT NZ, DeepStrike, Cobalt, VikingCloud, CybersecurityVentures